(ii) Examples Showing the Effects of the Budget changes on Different Categories of Single and Married Taxpayers

EXAMPLE 1

Married couple, one income, no children taxed under PAYE

Full rate PRSI contributor

GROSS	PRSI Liability		Levy Liability		Tax Liability		Total	Total	Gain as % of
INCOME	Existing	Proposed	Existing	Proposed	Existing	Proposed	Gain	Gain	Net Income
							(Per Year)	(Per Week) (a)	
€	€	€	€	€	€	€	€	€	%
17,500	436	0	0	0	0	0	436	8	2.6
25,000 (b)	734	734	499	0	242	0	741	14	3.2
30,000	936	936	600	600	1,250	720	530	10	1.9
35,000	1,136	1,136	700	700	2,250	1,720	530	10	1.7
40,000	1,336	1,336	800	800	3,250	2,720	530	10	1.5
45,000	1,536	1,536	900	900	5,130	4,140	990	19	2.6
50,000	1,615	1,693	1,000	1,000	7,230	6,190	962	19	2.4
60,000	1,656	1,734	1,200	1,200	11,430	10,290	1,062	20	2.3
80,000	1,707	1,789	1,600	1,600	19,830	18,490	1,257	24	2.2
100,000	1,737	1,820	2,000	2,000	28,230	26,690	1,457	28	2.1
120,000	1,757	1,840	2,400	2,500	36,630	34,890	1,558	30	2.0
200,000	1,798	1,886	4,000	4,500	70,230	67,690	1,953	38	1.6

Variations can arise due to rounding

(a) Gains per week are based on a 52 week year

(b) *Recte* €24,960

Example 2

Married couple, one income, two children (under the age of six) taxed under PAYE

Full rate PRSI contributor

GROSS INCOME	PRSI Liability		Levy Liabilty		Tax Liability		Child Benefit Increase (a)	Total Gain (b)	Gain as % of Net Income (c)	Total Gain where FIS applies (d) (Per Year)	Total Gain where FIS applies (e) (Per Week)	Gain including FIS as % of Net Income (f)
	Existing	Proposed	Existing	Proposed	Existing	Proposed						
€	€	€	€	€	€	€	€	€	%	€	€	%
17,500	436	0	0	0	0	0	180	1,116	5.0	2,104	40	7.6
25,000 (g)	734	734	499	0	0	0	180	1,179	4.1	2,115	41	6.9
30,000	936	936	600	600	480	0	180	1,160	3.5	2,200	42	6.7
35,000	1,136	1,136	700	700	1,480	950	180	1,210	3.3	1,210	23	3.3
40,000	1,336	1,336	800	800	2,480	1,950	180	1,210	3.0	1,210	23	3.0
45,000	1,536	1,536	900	900	4,360	3,370	180	1,670	3.9	1,670	32	3.9
50,000	1,615	1,693	1,000	1,000	6,460	5,420	180	1,642	3.6	1,642	32	3.6
60,000	1,656	1,734	1,200	1,200	10,660	9,520	180	1,742	3.4	1,742	34	3.4
80,000	1,707	1,789	1,600	1,600	19,060	17,720	180	1,937	3.1	1,937	37	3.1
100,000	1,737	1,820	2,000	2,000	27,460	25,920	180	2,137	2.9	2,137	41	2.9
120,000	1,757	1,840	2,400	2,500	35,860	34,120	180	2,238	2.6	2,238	43	2.6
200,000	1,798	1,886	4,000	4,500	69,460	66,920	180	2,633	2.0	2,633	51	2.0

Variations can arise due to rounding

(a) Value during 2007 of the increase in Child Benefit (CB) made in the Budget, which is effective from April, 2007 (i.e. assuming 9 months of CB increase).

(b) Includes payment of an additional quarter of ECS (€250 per child) in 2007 as compared with 2006

(c) Net income includes CB and ECS less deductions of tax, levy and PRSI (where appropriate) and so may be higher than the gross income.

(d) The last three columns show the total gain where Family Income Supplement (FIS) is taken up in both years. The gain includes the value during 2007 of the improvement in FIS made in this Budget which takes effect from January, 2007.

(e) Gains per week are based on a 52 week year

(f) Net income includes CB, ECS and FIS (where relevant) less deductions of tax, levy and PRSI (where appropriate) and so may be higher than the gross income.

(g) *Recte* €24,960

Example 3

Married couple, two incomes, two children (under the age of six) taxed under PAYE

Full rate PRSI contributors

GROSS INCOME	PRSI liability		Levy Liability		Tax Liability		Child Benefit Increase (a)	Total Gain (b)	Gain as % of Net Income (c)	Total Gain where FIS applies (d) (Per Year)	Total Gain where FIS applies (Per Week) (e)	Gain including FIS as % of Net Income (f)
	Existing	Proposed	Exisitng	Proposed	Existing	Proposed						
€	€	€	€	€	€	€	€	€	%	€	€	%
25,000	386	0	0	0	0	0	180	1,066	3.6	2,106	4 1	6.8
30,000	516	516	0	0	0	0	180	680	2.0	680	13	2.0
35,000	646	646	0	0	760	0	180	1,440	3.7	1,440	28	3.7
40,000	776	776	520	520	1,760	960	180	1,480	3.5	1,480	28	3.5
45,000	1,272	906	585	585	2,760	1,960	180	1,846	4.1	1,846	36	4.1
50,000	1,472	1,036	650	650	3,760	2,960	180	1,916	3.9	1,916	37	3.9
60,000	1,872	1,872	780	780	5,760	4,960	180	1,480	2.6	1,480	28	2.6
70,000	2,272	2,272	1,400	910	9,080	7,485	180	2,765	4.4	2,765	53	4.4
80,000	2,481	2,559	1,600	1,600	13,280	11,480	180	2,402	3.5	2,402	46	3.5
100,000	2,807	2,888	2,000	2,000	21,680	19,680	180	2,599	3.3	2,599	50	3.3
120,000	3,118	3,200	2,400	2,400	30,080	27,880	180	2,798	3.1	2,798	54	3.1
200,000	3,454	3,614	4,000	4,150	63,680	60,680	180	3,370	2.5	3,370	65	2.5

Variations can arise due to rounding

This example assumes that the joint income is divided 65% and 35% between spouses.

(a) Value during 2007 of the increase in Child Benefit (CB) made in the Budget, which is effective from April, 2007 (i.e. assuming 9 months of CB increase).

(b) Includes payment of an additional quarter of ECS (€250 per child) in 2007 as compared with 2006

(c) Net income includes CB and ECS less deductions of tax, levy and PRSI (where appropriate) and so may be higher than the gross income.

(d) The last three columns show the total gain where Family Income Supplement (FIS) is taken up in both years. The gain includes the value during 2007 of the improvement in FIS made in this Budget which takes effect from January, 2007.

(e) Gains per week are based on a 52 week year

(f) Net income includes CB, ECS and FIS (where relevant) less deductions of tax, levy and PRSI (where appropriate) and so may be higher than the gross income.

EXAMPLE 4

Single person taxed under PAYE

Full rate PRSI contributor

GROSS INCOME	PRSI Liability		Levy Liability		Tax Liability		Total Gain (Per Year)	Total Gain (Per Week) (a)	Gain as % of Net Income
	Existing	Proposed	Existing	Proposed	Existing	Proposed			
€	€	€	€	€	€	€	€	€	%
17,500	436	0	0	0	380	0	816	16	4.9
25,000 (b)	734	734	499	0	1,872	1,472	899	17	4.1
30,000	936	936	600	600	2,880	2,480	400	8	1.6
35,000	1,136	1,136	700	700	4,540	3,690	850	16	3.0
40,000	1,336	1,336	800	800	6,640	5,740	900	17	2.9
45,000	1,536	1,536	900	900	8,740	7,790	950	18	2.8
50,000	1,615	1,693	1,000	1,000	10,840	9,840	922	18	2.5
55,000	1,638	1,713	1,100	1,100	12,940	11,890	975	19	2.5
60,000	1,656	1,734	1,200	1,200	15,040	13,940	1,022	20	2.4
80,000	1,707	1,789	1,600	1,600	23,440	22,140	1,217	23	2.3
100,000	1,737	1,820	2,000	2,000	31,840	30,340	1,417	27	2.2
120,000	1,757	1,840	2,400	2,500	40,240	38,540	1,518	29	2.0
200,000	1,798	1,886	4,000	4,500	73,840	71,340	1,913	37	1.6

Variations can arise due to rounding

(a) Gains per week are based on a 52 week year

(b) *Recte* €24,960

EXAMPLE 5

Married couple, one income, no children taxed under PAYE

Modified rate PRSI contributor

GROSS INCOME	PRSI Liability		Levy Liability		Tax Liability		Total Gain (Per Year)	Total Gain (Per Week) (a)	Gain as % of Net Income
	Existing	Proposed	Existing	Proposed	Existing	Proposed			
€	€	€	€	€	€	€	€	€	%
17,500	145	0	0	0	0	0	145	3	0.8
25,000 (b)	212	212	499	0	242	0	741	14	3.1
30,000	258	258	600	600	1,170	640	530	10	1.9
35,000	303	303	700	700	2,170	1,640	530	10	1.7
40,000	348	348	800	800	3,170	2,640	530	10	1.5
45,000	393	393	900	900	5,050	4,060	990	19	2.6
50,000	408	427	1,000	1,000	7,150	6,110	1,021	20	2.5
60,000	410	429	1,200	1,200	11,350	10,210	1,121	22	2.4
80,000	412	432	1,600	1,600	19,750	18,410	1,320	25	2.3
100,000	414	433	2,000	2,000	28,150	26,610	1,520	29	2.2
120,000	414	434	2,400	2,500	36,550	34,810	1,620	31	2.0
200,000	416	436	4,000	4,500	70,150	67,610	2,020	39	1.6

Variations can arise due to rounding.

(a) Gains per week are based on a 52 week year

(b) *Recte* €24,960

EXAMPLE 6

Married couple, one income, two children (under the age of 6) taxed under PAYE

Modified rate PRSI contributor

GROSS INCOME	PRSI Liability		Levy Liability		Tax Liability		Child Benefit Increase (a)	Total Gain (b)	Gain as % of Net Income (c)	Total Gain where FIS applies (d) (Per Year)	Total Gain where FIS applies (e) (Per Week)	Gain including FIS as % of Net Income (f)
	Existing	Proposed	Existing	Proposed	Existing	Proposed						
€	€	€	€	€	€	€	€	€	%	€	€	%
17,500	145	0	0	0	0	0	180	825	3.7	2,021	39	7.2
25,000 (g)	212	212	499	0	0	0	180	1,179	4.0	2,115	41	6.9
30,000	258	258	600	600	480	0	180	1,160	3.4	1,160	22	3.4
35,000	303	303	700	700	1,480	950	180	1,210	3.2	1,210	23	3.2
40,000	348	348	800	800	2,480	1,950	180	1,210	2.9	1,210	23	2.9
45,000	393	393	900	900	4,360	3,370	180	1,670	3.8	1,670	32	3.8
50,000	408	427	1,000	1,000	6,460	5,420	180	1,701	3.6	1,701	33	3.6
60,000	410	429	1,200	1,200	10,660	9,520	180	1,801	3.4	1,801	35	3.4
80,000	412	432	1,600	1,600	19,060	17,720	180	2,000	3.1	2,000	38	3.1
100,000	414	433	2,000	2,000	27,460	25,920	180	2,200	2.9	2,200	42	2.9
120,000	414	434	2,400	2,500	35,860	34,120	180	2,301	2.7	2,301	44	2.7
200,000	416	436	4,000	4,500	69,460	66,920	180	2,701	2.1	2,701	52	2.1

Variations can arise due to rounding

(a) Value during 2007 of the increase in Child Benefit (CB) made in the Budget, which is effective from April, 2007 (i.e. assuming 9 months of CB increase).

(b) Includes payment of an additional quarter of ECS (€250 per child) in 2007 as compared with 2006

(c) Net income includes CB and ECS less deductions of tax, levy and PRSI (where appropriate) and so may be higher than the gross income.

(d) The last three columns show the total gain where Family Income Supplement (FIS) is taken up in both years. The gain includes the value during 2007 of the improvement in FIS made in this Budget which takes effect from January, 2007.

(e) Gains per week are based on a 52 week year

(f) Net income includes CB, ECS and FIS (where relevant) less deductions of tax, levy and PRSI (where appropriate) and so may be higher than the gross income.

(g) *Recte* €24,960

EXAMPLE 7

Married couple, two incomes, two children (under the age of 6)

Modified rate PRSI contributors

GROSS INCOME	PRSI Liability		Levy Liability		Tax Liability		Child Benefit Increase (a)	Total Gain (b)	Gain as % of Net Income (c)	Total Gain where FIS applies (d) (Per Year)	Total Gain where FIS applies (e) (Per Week)	Gain including FIS as % of Net Income (f)
	Existing	Proposed	Existing	Proposed	Existing	Proposed						
€	€	€	€	€	€	€	€	€	%	€		%
20,000	0	0	0	0	0	0	180	680	2.7	1,928	37	6.6
30,000	163	163	0	0	0	0	180	680	1.9	680	13	1.9
35,000	193	193	0	0	760	0	180	1,440	3.7	1,440	28	3.7
40,000	222	222	520	520	1,760	960	180	1,480	3.5	1,480	28	3.5
45,000	381	251	585	585	2,760	1,960	180	1,610	3.5	1,610	31	3.5
50,000	426	280	650	650	3,760	2,960	180	1,625	3.2	1,625	31	3.2
60,000	516	516	780	780	5,760	4,960	180	1,480	2.6	1,480	28	2.6
70,000	606	606	1,400	910	9,080	7,485	180	2,765	4.3	2,765	53	4.3
80,000	648	668	1,600	1,600	13,280	11,480	180	2,461	3.5	2,461	47	3.5
100,000	713	733	2,000	2,000	21,680	19,680	180	2,661	3.3	2,661	51	3.3
120,000	778	797	2,400	2,400	30,080	27,880	180	2,860	3.1	2,860	55	3.1
200,000	826	865	4,000	4,150	63,680	60,680	180	3,492	2.6	3,492	67	2.6

Variations can arise due to rounding

This example assumes that the joint income is divided 65% and 35% between spouses.

(a) Value during 2007 of the increase in Child Benefit (CB) made in the Budget, which is effective from April, 2007 (i.e. assuming 9 months of CB increase).

(b) Includes payment of an additional quarter of ECS (€250 per child) in 2007 as compared with 2006

(c) Net income includes CB and ECS less deductions of tax, levy and PRSI (where appropriate) and so may be higher than the gross income.

(d) The last three columns show the total gain where Family Income Supplement (FIS) is taken up in both years. The gain includes the value during 2007 of the improvement in FIS made in this Budget which takes effect from January, 2007.

(e) Gains per week are based on a 52 week year

(f) Net income includes CB, ECS and FIS (where relevant) less deductions of tax, levy and PRSI (where appropriate) and so may be higher than the gross income.

EXAMPLE 8

Single person taxed under PAYE

Modified rate PRSI contributor

GROSS INCOME	PRSI Liability		Levy Liability		Tax Liability		Total Gain (Per Year)	Total Gain (Per Week) (a)	Gain as % of Net Income
	Existing	Proposed	Existing	Proposed	Existing	Proposed			
€	€	€	€	€	€	€	€	€	%
17,500	145	0	0	0	380	0	525	10	3.1
25,000 (b)	212	212	499	0	1,872	1,472	899	17	4.0
30,000	258	258	600	600	2,880	2,480	400	8	1.5
35,000	303	303	700	700	4,540	3,690	850	16	2.9
40,000	348	348	800	800	6,640	5,740	900	17	2.8
45,000	393	393	900	900	8,740	7,790	950	18	2.7
50,000	408	427	1,000	1,000	10,840	9,840	981	19	2.6
60,000	410	429	1,200	1,200	15,040	13,940	1,081	21	2.5
80,000	412	432	1,600	1,600	23,440	22,140	1,280	25	2.3
100,000	414	433	2,000	2,000	31,840	30,340	1,480	28	2.3
120,000	414	434	2,400	2,500	40,240	38,540	1,581	30	2.1
200,000	416	436	4,000	4,500	73,840	71,340	1,981	38	1.6

Variations can arise due to rounding

(a) Gains per week are based on a 52 week year

(b) *Recte* €24,960

EXAMPLE 9

Married couple, one income, no children

Taxed under Schedule D

GROSS INCOME	PRSI Liability		Levy Liability		Tax Liability		Total Gain (Per Year)	Total Gain (Per Week) (a)	Gain as % of Net Income
	Existing	Proposed	Existing	Proposed	Existing	Proposed			
€	€	€	€	€	€	€	€	€	%
17,500	525	525	0	0	240	0	240	5	1.4
25,000 (b)	749	749	499	0	1,732	1,472	759	15	3.5
30,000	900	900	600	600	2,740	2,480	260	5	1.0
35,000	1,050	1,050	700	700	3,740	3,480	260	5	0.9
40,000	1,200	1,200	800	800	4,740	4,480	260	5	0.8
45,000	1,350	1,350	900	900	6,620	5,900	720	14	2.0
50,000	1,500	1,500	1,000	1,000	8,720	7,950	770	15	2.0
60,000	1,800	1,800	1,200	1,200	12,920	12,050	870	17	2.0
80,000	2,400	2,400	1,600	1,600	21,320	20,250	1,070	21	2.0
100,000	3,000	3,000	2,000	2,000	29,720	28,450	1,270	24	1.9
120,000	3,600	3,600	2,400	2,500	38,120	36,650	1,371	26	1.8
200,000	6,000	6,000	4,000	4,500	71,720	69,450	1,771	34	1.5

Variations can arise due to rounding.

(a) Gains per week are based on a 52 week year

(b) *Recte* €24,960

EXAMPLE 10

Married couple, one income, two children (under the age of 6)

Taxed under Schedule D

GROSS INCOME	PRSI Liability		Levy Liability		Tax Liability		Child Benefit Increase (a)	Total Gain (b) (Per Year)	Total Gain (Per Week) (c)	Gain as % of Net Income (d)
	Existing	Proposed	Existing	Proposed	Existing	Proposed				
€	€	€	€	€	€	€	€	€	€	%
17,500	525	525	0	0	0	0	180	680	13	3.1
25,000 (e)	749	749	499	0	962	702	180	1,439	28	5.2
30,000	900	900	600	600	1,970	1,710	180	940	18	3.0
35,000	1,050	1,050	700	700	2,970	2,710	180	940	18	2.7
40,000	1,200	1,200	800	800	3,970	3,710	180	940	18	2.4
45,000	1,350	1,350	900	900	5,850	5,130	180	1,400	27	3.3
50,000	1,500	1,500	1,000	1,000	7,950	7,180	180	1,450	28	3.3
60,000	1,800	1,800	1,200	1,200	12,150	11,280	180	1,550	30	3.1
80,000	2,400	2,400	1,600	1,600	20,550	19,480	180	1,750	34	2.9
100,000	3,000	3,000	2,000	2,000	28,950	27,680	180	1,950	38	2.7
120,000	3,600	3,600	2,400	2,500	37,350	35,880	180	2,051	39	2.5
200,000	6,000	6,000	4,000	4,500	70,950	68,680	180	2,451	47	2.0

Variations can arise due to rounding

(a) Value during 2007 of the increase in Child Benefit (CB) made in the Budget, which is effective from April, 2007 (i.e. assuming 9 months of CB increase).

(b) Includes payment of an additional quarter of ECS (€250 per child) in 2007 as compared with 2006

(c) Gains per week are based on a 52 week year

(d) Net income includes CB and ECS less deductions of tax, levy and PRSI (where appropriate) and so may be higher than the gross income.

(e) *Recte* €24,960

EXAMPLE 11

Married couple, two incomes, two children, (under the age of 6)

Taxed under Schedule D

GROSS INCOME	PRSI Liability		Levy Liability		Tax Liability		Child Benefit Increase (a)	Total Gain (b) (Per Year)	Total Gain (Per Week) (c)	Gain as % of Net Income (d)
	Existing	Proposed	Existing	Proposed	Existing	Proposed				
€	€	€	€	€	€	€	€	€		%
20,000	643	643	0	0	740	480	180	940	18	4.0
30,000	900	900	0	0	2,740	2,480	180	940	18	3.0
35,000	1,050	1,050	0	0	3,740	3,480	180	940	18	2.7
40,000	1,200	1,200	520	520	4,740	4,480	180	940	18	2.4
45,000	1,350	1,350	585	585	5,740	5,480	180	940	18	2.2
50,000	1,500	1,500	650	650	6,740	6,480	180	940	18	2.0
60,000	1,800	1,800	780	780	8,740	8,480	180	940	18	1.7
70,000	2,100	2,100	1,400	910	12,060	11,005	180	2,225	43	3.7
80,000	2,400	2,400	1,600	1,600	16,260	15,000	180	1,940	37	3.0
100,000	3,000	3,000	2,000	2,000	24,660	23,200	180	2,140	41	2.8
120,000	3,600	3,600	2,400	2,400	33,060	31,400	180	2,340	45	2.7
200,000	6,000	6,000	4,000	4,150	66,660	64,200	180	2,991	58	2.3

This example assumes that the joint income is divided 65% and 35% between spouses.

Variations can arise due to rounding

(a) Value during 2007 of the increase in Child Benefit (CB) made in the Budget, which is effective from April, 2007 (i.e. assuming 9 months of CB increase).

(b) Includes payment of an additional quarter of ECS (€250 per child) in 2007 as compared with 2006

(c) Gains per week are based on a 52 week year

(d) Net income includes CB and ECS less deductions of tax, levy and PRSI (where appropriate) and so may be higher than the gross income.

EXAMPLE 12

Single person

Taxed under Schedule D

GROSS INCOME	PRSI Liability		Levy Liability		Tax Liability		Total Gain	Total Gain	Gain as % of Net Income
	Existing	Proposed	Existing	Proposed	Existing	Proposed	(Per Month)	(Per Week) (a)	
€	€	€	€	€	€	€	€	€	%
17,500	525	525	0	0	1,870	1,740	130	3	0.9
25,000 (b)	749	749	499	0	3,362	3,232	629	12	3.1
30,000	900	900	600	600	4,370	4,240	130	3	0.5
35,000	1,050	1,050	700	700	6,030	5,450	580	11	2.1
40,000	1,200	1,200	800	800	8,130	7,500	630	12	2.1
45,000	1,350	1,350	900	900	10,230	9,550	680	13	2.1
50,000	1,500	1,500	1,000	1,000	12,330	11,600	730	14	2.1
60,000	1,800	1,800	1,200	1,200	16,530	15,700	830	16	2.1
80,000	2,400	2,400	1,600	1,600	24,930	23,900	1,030	20	2.0
100,000	3,000	3,000	2,000	2,000	33,330	32,100	1,230	24	2.0
120,000	3,600	3,600	2,400	2,500	41,730	40,300	1,331	26	1.8
200,000	6,000	6,000	4,000	4,500	75,330	73,100	1,731	33	1.5

Variations can arise due to rounding

(a) Gains per week are based on a 52 week year

(b) *Recte* €24,960